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FJ 103101+

JAPAN'S FUTURE RELATIONS WITH FORMOSA.

Background.

The Japanese Peace Treaty which is before the Conference at San Francisco is based, as regards China and Formosa, on the compromise agreement reached with Mr. Dulles in London in June. This, as recorded in an agreed announcement which was in fact never issued, but has formed the basis for official publicity in the United Kingdom and United States since then, provided as follows: neither Government of China to sign the Peace Treaty; Japan to determine her own future attitude towards China; Japan to renounce her sovereignty over Formosa (including the Pescadores islands); the Treaty not to determine the future of these islands.

2. A Washington press report dated August 30th said that Mr. Dulles had informed United States Senators that Japan and Nationalist China would make a separate Peace Pact after the signature of the general Peace Treaty at San Francisco. Such a development would clearly have been contrary to the spirit of the agreement reached in June with Mr. Dulles, and we accordingly asked Sir Oliver Franks to request an assurance that there was no truth in the report.

Flag A (Foreign Office telegram to Washington No. 3981).— FJ10310|2

Mr. Dulles's assurance.

3. In reply the United States Embassy have now passed on the following message which they have had from Mr. Dulles at San Francisco:

"There is no foundation whatever for report that I have made secret arrangement with Japanese Government for its recognition of and making Peace Treaty with

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Chinese Nationalist Government and have so advised Republican senators. The press story seemed designed to embarrass by forcing public denial which could be used to create Senate opposition to Treaty ratification. Two Republican senators whose names were involved in story both assured me that they never made any such statement as attributed to them.

There are counterpart stories that United Kingdom Chargé Tokyo has obtained secret assurance that Japanese Government will not deal with Nationalist China". FC 103,10\3

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4. This message is supplemented by San Francisco telegram No. 3, which says that Mr. Dulles has given a similar assurance to Sir Oliver Franks. The message through this channel makes it clear that Mr. Dulles does not think that Japan should sign a <u>formal</u> Treaty with the Nationalists; and Mr. Allison, Mr. Dulles's Assistant, has since added that he believes the Japanese Government wish "to make some sort of practical arrangement governing relations with the authorities in Formosa at an early date after the signature of the Treaty."

<u>The Immediate Problem.</u>

5. From Mr. Dulles's assurance we can feel fairly certain that the United States Government are not intending to go back on the agreement reached in June in the sense that they are still opposed to Japan signing a Peace Treaty with the Nationalist authorities which would recognise them as the Government of China or of Formosa. It is clear, however, both from reading between the lines of Mr. Dulles's assurance, and from Mr. Allison's subsequent explanation, that

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we are likely to be faced with a proposal for a practical arrangement between Japan and the Nationalist authorities after the signature of the Treaty and before its ratification.

6. Any views which we may wish to express on this prospect should, it is suggested, be conveyed to the Americans at the earliest possible moment, since once the Treaty is signed at San Francisco we will lose much of the usefulness which we have had for them as joint sponsors, with the result that we must be prepared for a marked decrease in the special consideration which they have given to our views about Japan during the last few months.

7. It is suggested that we should oppose any practical arrangement between Japan and the Nationalist authorities before the Peace Treaty comes into effect, for the following two reasons:

(a) This would be contrary to the clear implication of our agreement with Mr. Dulles which was that "Japan's future attitude towards China must necessarily be for determination by Japan itself <u>in the exercise of the sovereign and independent status contemplated by the Treaty</u>", namely, a status which Japan does not achieve until the Treaty comes into force;

(b) We have always felt that it would be a great mistake for Japan to take any action, before the Treaty comes into force, which could have the effect of prejudicing her highly important economic relations with the mainland of China, since this would give Japanese Nationalists in the future a pretext for saying that such action, with its attendant consequences, had been forced upon Japan when she was not yet a free agent. This is a powerful argument which had much influence on the Americans in leading

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them to accept our compromise solution.

8. It would follow from this that Japan should make no sort of arrangement with the Nationalists until after the Treaty comes into force. As however there are indications that the Senate may make difficulties about ratifying the Peace Treaty unless Japan has by then made some arrangement with the Nationalists, we should not expect that this view will be readily acceptable to the United States Government.

The next stage.

9. Although it does not seem necessary to say anything to the United States Government at present beyond the above, it may be thought that we should now try to look into the future and see what we think Japan should do about her relations with Formosa once the Peace Treaty comes into effect. She will then be legally a free agent, but, even so, anti-American critics both inside Japan and outside it will still be able to claim that she is in fact under American influence. This fact will make it important that Japan should still avoid any action which might have the effect of banging the door on her future relations with the mainland of China. Our own estimate has been that, if left to herself, she will avoid such action, and will try to keep lines open to both Peking and Formosa. This is what would appear best to suit the general anti-Communist interest as well as Japan's own. As it will clearly not be practical politics to expect Japan as the ally of the United States to have the sort of relations with the Central People's Government which would involve the presence in Japan of officially accredited agents of Peking, - at any rate for as long as Chinese aggression in Korea continues,- it will presumably be in Japan's interest to avoid taking any action with the Nationalist authorities which would enable Peking to complain that they were being discriminated against. How she could achieve this it is hard for us to see, but this is exactly

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the sort of problem which the Japanese are good at solving, and the essential thing is that they should be given a chance to do so without their decision being influenced from outside.

10. It is also important that we should not allow a situation to develop where we and the Americans are giving the Japanese contrary advice about their treatment of the Chinese problem, and leaving the Japanese free to play us each off against the other. This calls for Anglo-American agreement based on a recognition of where our joint interests lie. Such agreement should not be impossible to achieve if we can, as it were, prolong into the future the lines of the compromise agreement reached with Mr. Dulles in June.

11. In view, however, of possible changes in the situation in Korea or elsewhere in the Far East before Peace Treaty comes into force, it will probably be premature to discuss this future problem with the Americans at present.

Recommendation.

12. That we should put strongly to the United States Government, through their Delegation at San Francisco, the view that Japan should not reach any arrangement, however informal, with the Nationalists until the Treaty comes into force; and that such action should be taken in the course of this week, while the Americans are still conscious of the value of our support in getting the Peace Treaty signed.

Other British officials would not regard such a development as a breach of faith.

13. The foregoing has been agreed with Sir Eric Beckett and China and Korea Department.

C.H. Johnston.
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Mr. P. Mason. I agree. P. Mason 5.9
Sir W. Strang. I also agree. W. Strang 5/9
(Copy sent to: Sir P. Dixon)

Tel. Sent. As amended. C.H.J. 5.ix. H.M. 5/9.

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